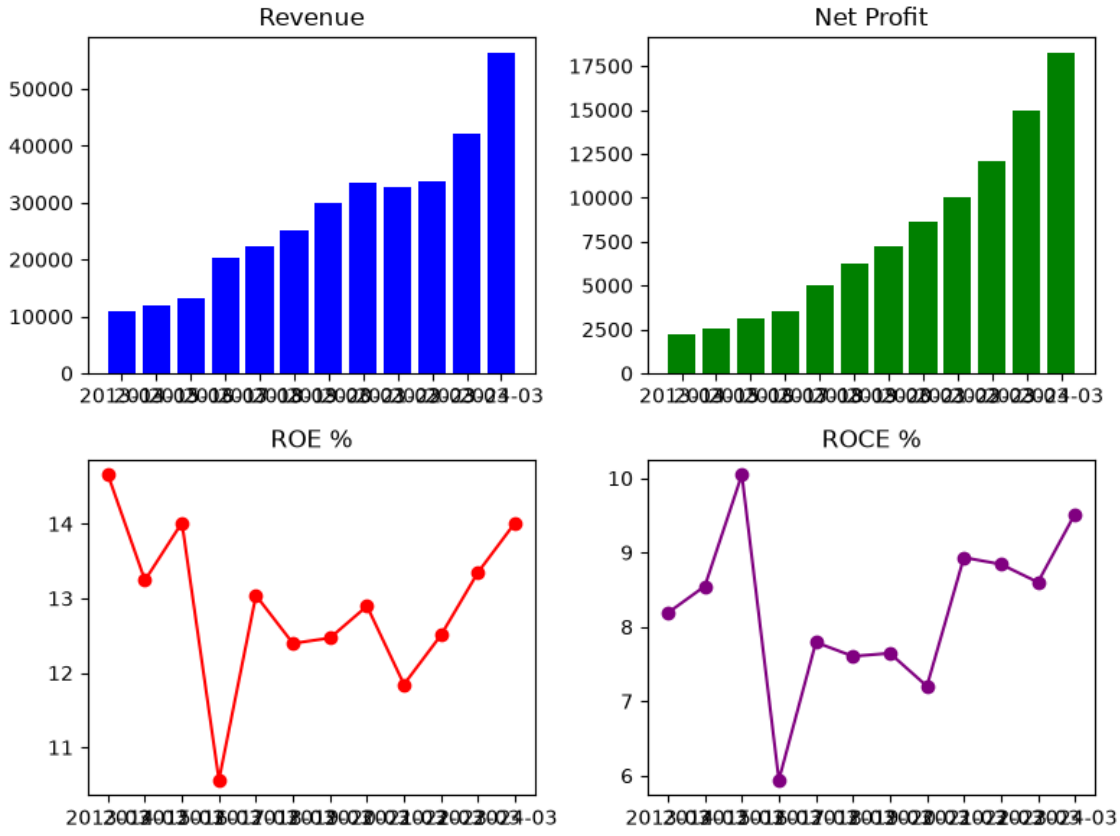
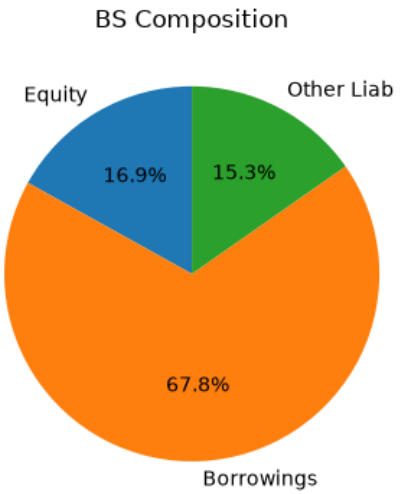
Kotak Mahindra Bank Ltd (KOTAKBANK)

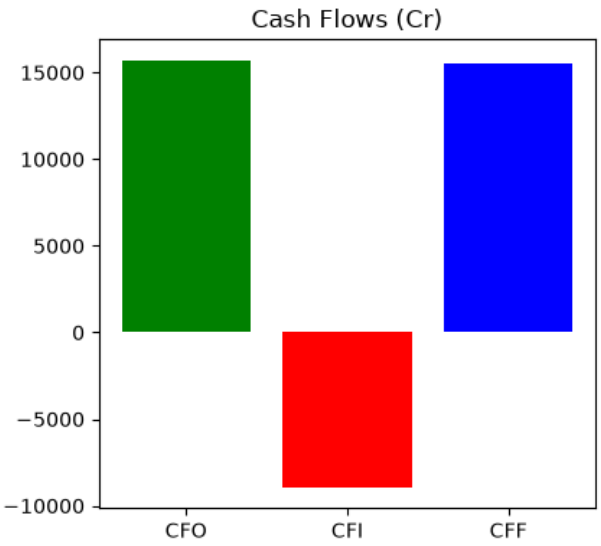
ROE	14.01%	ROCE	9.52%
D/E	4.00	OPM	83.67%
FCF	6766 Cr	Net Profit Margin	32.39%

Performance Trends



Balance Sheet & Cash Flows





Pros & Cons

Pros: Operating profit margin above 25% indicates strong pricing power and cost discipline, Net profit compounding at above 20% over 5 years creates significant shareholder value, Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding, Return on equity improving for 3 consecutive years shows strengthening business quality, Revenue growing slower than profits shows improving operating leverage and scale benefits
Cons: Debt-to-equity ratio of 4.00 is elevated for a non-financial company and warrants monitoring, Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations, Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital, Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Badge: Mixed